A TOAST TO SUCCESS

A glimpse at **Abhishek Khaitan's** journey at Radico, from creating brands & wealth for stakeholders to make India proud

Abhishek Khaitan, the dynamic Managing Director of Radico Khaitan, has played a pivotal role in transforming the company into a titan of the Indian beverage industry. Recognized for his visionary leadership and strategic insights, Abhishek has driven Radico Khaitan to unprecedented success. In this exclusive interview, he delves into Radico's journey from humble beginnings to becoming a global benchmark for excellence, with internationally acclaimed brands.

He also discusses the journey of iconic brands from their inception to their current prominence. He shares insights on the strategic decisions that fueled their growth, the philosophy behind their premium product lines, and the innovative marketing strategies that distinguish Radico Khaitan in a competitive market.



What inspired you to enter the beverage industry and start from scratch?

I attended the Modern School in Delhi. I was deeply immersed in the culture of branding from a young age. My family has been in the liquor business since 1973, the year I was born. From my school days, I harbored a clear ambition to create brands within the liquor industry. My academic journey was marked by significant achievements, including topping India in PCM during my 10th grade. Initially, I aspired to become a Chartered Accountant, but due to the extensive educational requirements at the time, my parents suggested I pursue engineering instead. This led me to Bangalore, known as the pub city and a hub for liquor establishments. I joined the family business in 1996, a year filled with challenges that ultimately shaped our future direction.

Can you share some key milestones and challenges you faced in growing from zero to a portfolio of 28 million cases in 25 years?

1996 was a pivotal year for us. We faced multiple setbacks, including the termination of a significant bottling contract and a family separation that left us with substantial liabilities. Despite these challenges, we decided to leverage our expertise in manufacturing and create our own brands. In 1998, we launched our first brand, 8PM, amid financial constraints. We hired a visionary leader – Amar Sinha, a young team and persuaded bottlers across the country to work with us, which was instrumental in our early success. Myself and the then President, Amar Sinha (now COO) launched 8PM Whisky, that went on to create history and became the first brand in India to hit the One Million case sales mark within a year of its launch which was recorded in the Limca Book of Records. We created an incredible TVC for the brand that was adjudged as one of the best Ad Films of the century at the Cannes Films festival. This gave Radico the recognition and place in the very competitive liquor industry, then ruled by giants like UB Group and Shaw Wallace. Thereafter, Radico never looked back.

Our journey from 1998 to 2006 saw us expanding our portfolio and achieving remarkable growth, reaching 10 million cases in eight years. Notably, for two consecutive years, we were recognized as the fastest-growing company globally by JP Morgan. In 2006, I identified a growing trend of premiumization in the liquor market during a visit to Las Vegas, which led us to launch Magic Moments vodka. This brand, characterized by its premium packaging and diverse flavors, has become a significant player in the global market, currently ranked as the 4th largest vodka brand worldwide.

What factors led to the success of Magic Moments vodka?

The success of Magic Moments vodka can be attributed to several factors. Observing the global trend of premiumization, we launched Magic Moments in 2006, focusing on high-quality packaging and innovative flavors. This approach resonated well with consumers, positioning Magic Moments as a premium choice in the market. The introduction of flavored vodkas further expanded our appeal. Today, we offer seven flavors under the Magic Moments brand, alongside premium variants such as Dazzle and Verve.

Our strategic marketing and distribution efforts have also played a crucial role. Magic Moments commands a 60% market share in India, meaning that more than one in every two bottles of vodka sold in the country is from our brand. This year, we achieved a significant milestone by crossing 6.3 million cases in sales volume and 1000 crores in sales revenue for the Magic Moments family.

In the last half a decade, Radico's share prices